DEMO-SOP-002 Synthetic Loan Portfolio Risk Monitoring

Version: 1.0

Effective date: 1 January 2025

Owner: Synthetic Portfolio Risk Monitoring Team

Classification: Synthetic Demo Only

1. Purpose and Population

- This SOP defines synthetic portfolio monitoring for `loan_quality` only.
- One row represents one fictional loan observation identified by `loan_id`.
- `assessment_date` determines the reporting period.
- Data dates fall between 1 January 2025 and 30 September 2026.
- `customer_segment` can be Retail, SME, or Priority.
- `origination_channel` can be Digital, Branch, or Partner.
- `region_name` can be Bali, DKI Jakarta, Jawa Barat, Jawa Tengah, Jawa Timur, or Sumatera Utara.
- Each dataset row is one observation rather than a repeated loan-month snapshot.

2. Delinquency and Risk Classification

- Delinquent means `days_past_due > 30`.
- `delinquency_flag` must match the `days_past_due > 30` condition.
- Low risk means `days_past_due = 0`.
- Medium risk means `days_past_due` from 1 through 30 inclusive.
- High risk means `days_past_due > 30`.
- `risk_band` reports Low, Medium, or High under those definitions.
- This synthetic Delinquency Rate is not the regulatory non-performing loan, or NPL, ratio.

3. Certified Measures

- Observed Loans equals the count of `loan_quality` records in scope.
- Delinquent Loans counts observations with `days_past_due > 30`.
- Delinquency Rate equals Delinquent Loans divided by Observed Loans in the same scope, multiplied by 100.
- Total Outstanding is the sum of `outstanding_balance` for all observations in scope.
- Delinquent Balance is the sum of `outstanding_balance` only for observations with `days_past_due > 30`.
- `monthly_installment` can support descriptive summaries but is not a default affordability metric.
- No metric may combine this table with `credit_applications` through a runtime join.

4. Investigation Trigger

- Investigation is triggered only when Delinquency Rate is greater than 15 percent.
- The same selected group must include at least 30 Observed Loans.
- Both conditions are required.
- A group with fewer than 30 observations does not meet the trigger, regardless of its rate.

- The threshold is an internal synthetic demo threshold and not a regulatory limit.
- Triggering an investigation does not establish a breach, cause, or customer-level wrongdoing.

5. Review and Escalation

- Verify the `assessment_date` filter and denominator before presenting a rate.
- Compare the group with a clearly defined and non-overlapping reference population when practical.
- Review `region_name`, `customer_segment`, `product_category`, and `origination_channel` separately or as valid breakdowns.
- Inspect the number of observed and delinquent loans before interpreting percentage differences.
- Report uncertainty when groups are small or comparisons are unbalanced.
- Escalate qualifying hotspots to a human risk owner for investigation.

6. Operational Boundaries

- These data are cross-sectional observations, not a loan-transition history.
- The assistant cannot infer whether a particular loan became delinquent over time.
- This SOP does not define provisioning, write-offs, or regulatory NPL accounting.
- The assistant may describe patterns but must not automate collections or lending decisions.

Disclaimer

This document is fictional. It is not a real bank policy or an OJK regulation. It must not be used for real credit decisions. No automated credit decision is permitted. The datasets contain no personal identifying information such as NIK, card numbers, or customer names. The assistant must distinguish observed association from a confirmed cause.